

STRATEGY FAILS ON THE WAY DOWN

One vision turns into the right next move for every team, and results flow back up. Hoshin sets **what** to achieve; your improvement system (Six Sigma, Lean, kaizen) is **how** you close the gaps.

Ho 方 Direction

Shin 針 Focus

Kan 管 Alignment

Ri 理 Reason

1 Set one vision, then make it measurable

- The CEO writes it; the top team shapes it until they all own it.
- Then make it scoreable: by when, judged by whom, on what.

Trap: a vision so vague nobody can tell if you got there.

OUTPUT

A one-line vision with a time horizon and a yardstick.

2 Write a policy for each of the eight drivers

Customers Employees Suppliers Processes Organisation
Technology Finance Design & innovation

Trap: only the finance policy is clear, so it wins every argument.

OUTPUT

Eight short policies: how each driver delivers the vision.

3 Turn policies into a vital few KPIs

- Measure today. Benchmark rivals *and* other industries.
- Rank by impact on the vision. In year one, pick wins you can prove.

Trap: KPIs imposed from outside get gamed, not improved.

OUTPUT

KPIs with today's value, a benchmark and a target.

4 Deploy with catchball

- Each level restates the KPIs in its own language, builds its plan and throws it back up to be agreed.

Trap: a cascade that only flows down. People own what they helped shape.

OUTPUT

Agreed KPI cards for every level, down to the teams.

5 Control with PDCA at every level

- Check actual against target on a fixed rhythm, then close gaps with improvement projects.

Trap: plans nobody checks turn into a wish list.

OUTPUT

A review calendar and a live list of improvement projects.

Also plan for threats. List what could knock the vision off course (competitors, regulation, supply, markets), score each on probability and severity, and give the biggest a countermeasure. Look for a rival's "loose brick": the weak spot customers care about.



A KPI ONLY WORKS IN ITS OWNER'S WORDS

Top-level KPIs are written in boardroom language. By the time they reach the shop floor they should be specific, local and in that team's own words, as in the example below.

CATCHBALL EXAMPLE: ONE KPI, FOUR LEVELS

LEVEL	THE KPI, IN THEIR WORDS	WHAT THEY THROW BACK UP
Executives	Yield	The company target and the resources committed.
Division heads	Material yield %	Which lines drive the losses, and what they need.
Section heads	Handling damage	Improvement projects, with owners and dates.
Teams	Picking errors	Daily counts, causes found, fixes made.

REVIEW RHYTHM

WHEN	WHO	LOOKS AT
Daily / weekly	Teams	Output against daily targets
Monthly	Departments	KPIs and project progress
Half-yearly	Managers	Trends; resources; course corrections
Annual	CEO	An audit, then next year's goals

THE CEO'S ANNUAL AUDIT ASKS TWO THINGS

1. Did the most important KPIs move, at every level down to the teams?
2. How far has Hoshin spread, and why are some areas ahead of others?

PDCA, NESTED

Every level runs its own Plan-Do-Check-Act loop. A manager's "Do" becomes the next level's plan, all the way to the teams. Teams who are trained in problem solving can close their own loop, so improvement doesn't wait for a specialist.

MAKE IT STICK

- **Agree, don't impose.** Set each person's KPI card with them, once a year.
- **Show progress** on boards in the work area. Seeing it is a form of recognition.
- **Recognise results.** Recognition is what powers the system, not fear.
- **Start where the grass is greenest:** the managers most likely to make it work.
- **Expect 3 to 5 years** to embed it, with early wins in the first year.

SELF-CHECK: SIGNS YOUR STRATEGY IS FAILING ON THE WAY DOWN

- | | |
|--|---|
| ☐ No one below the top team can state the vision | ☐ Decisions rest on opinion more than data |
| ☐ Cross-department processes have no owner | ☐ When things go wrong, the first question is "who?" |
| ☐ Goals other than money are slogans, not numbers | ☐ Department goals beat company goals |
| ☐ No one knows how good competitors really are | ☐ New initiatives fade after the launch |

Three or more ticks? Start with step 1, and run step 4 with real catchball.



YOUR HOSHIN PLAN ON ONE PAGE

Fill it in with your leadership team, in pencil. Expect to rework it after the first round of catchball.

1 · OUR VISION

HOW WE'LL KNOW (BY WHEN, JUDGED BY WHOM)

2–3 · DRIVER POLICIES AND KPIS

DRIVER	OUR POLICY	MEASURE	TODAY	BENCHMARK	TARGET
Customers					
Employees					
Suppliers					
Processes					
Organisation					
Technology					
Finance					
Design & innovation					

3 · PICK THE VITAL FEW (SCORE 1–5)

MEASURE	IMPACT ON VISION	EASE	TOTAL

4 · CATCHBALL FOR ONE KPI

LEVEL	THE KPI IN THEIR WORDS
Executives	
Division heads	
Section heads	
Teams	
Plan sent back	

5 · REVIEW CALENDAR

RHYTHM	WHO ATTENDS	WHEN	WHAT GETS REVIEWED
Daily / weekly			
Monthly			
Half-yearly			
Annual			



AI DRAFTS. PEOPLE DECIDE.

Much of the work in Hoshin is translating, summarising and chasing numbers. AI can take that legwork. The vision, the targets and the catchball conversation stay with people.

STEP	AI DOES THE LEGWORK	PEOPLE KEEP
1 · Vision	Groups the top team’s “future headline” notes into themes	Writing and owning the vision
2 · Drivers	Checks draft policies against all eight drivers and flags gaps	The policies
3 · KPIs	Pulls today’s numbers from your ERP and quality systems; flags measures with no data	Targets and ranking weights
4 · Catchball	Drafts each level’s version of a KPI; summarises plans sent back; spots clashes between departments	The conversation and the agreement
5 · PDCA	Builds the review pack; flags KPIs off target and stalled projects	The decisions

THREE PROMPTS TO START WITH (FILL IN THE BRACKETS)

A · Catchball draft (step 4)

Our company KPI is [KPI and target] . I lead [area or team] , and we control [what we can change] . Draft three versions of this KPI in the language of my area. Each must be measurable daily or weekly, and must say how it moves the company KPI. Flag anything we can’t measure today. Don’t set targets.

B · Driver policy check (step 2)

Here is our vision: [vision] . Here are our policies for the eight drivers: [policies] . For each driver, say whether the policy explains how it delivers the vision, what is vague, and one measure that would show progress. Don’t rewrite them.

C · Monthly review pack (step 5)

Here are this month’s KPI results and project updates: [table or notes] . List the KPIs off target, the projects that have stalled, and any place where two departments’ plans conflict. Facts only, and name the row each point comes from.

GUARDRAILS

- Use your company’s approved AI tools. Strategy and KPI data are confidential.
- Check every number against its source system before it goes on a board.
- AI never sets a target or signs off a KPI card. The owner does.
- A drafted KPI starts the catchball conversation. It doesn’t replace it.

TRY THIS WEEK

Pick one company KPI. Ask a team lead what it means in their area, in their own words. Then run prompt A for the same area and compare. Where the two differ is where your cascade needs a catchball conversation.